Class 30006 – Financial Markets and Institutions
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Commercial Banking
Bank Balance sheet
(Chapter 17)

Outline of today

1. The Bank Balance Sheet

2. Off-Balance Sheet activities

3. Basics of Banking

4. General Principles of Bank Management

5. Measuring Bank Performance

What are Commercial Banks?

- ✓ **Commercial Banks** (CBs) are institutions that:
  - accept **deposits** (*Liabilities*)

    and
  - make **loans** (*Assets*)

- ✓ CBs differ from other depository institutions because they:
  - are traditionally the largest Financial Intermediary (FI) by asset size
  - offer wider variety of lending activities than savings institutions and credit unions
  - pursue profit (≠ credit unions)
  - liabilities comprise not only of deposits (as in savings institutions), but also of debentures / commercial paper
  - *are chartered differently and regulated by different regulators than the savings institutions and credit unions*

- ✓ *Note: Investment Banks* (IB) are not depository institutions
  - in Europe model of “Universal Bank” (UB = CB & IB) allowed

Size of Indirect Finance by Type

Type of Intermediary	1990	2000	2010	2015	2015
	Value of Assets ($ billions, end of year)				
Depository institutions (banks)	Always largest FI				
Commercial banks, savings and loans, and mutual savings banks	4,779	7,687	15,580	17,368	30%
Credit unions	215	441	912	1,146	2%
Contractual savings institutions					
Life insurance companies	1,367	3,136	5,176	6,350	11%
Fire and casualty insurance companies	533	862	1,242	1,591	3%
Pension funds (private)	1,629	4,355	4,527	8,517	15%
State and local government retirement funds	737	2,293	2,661	5,641	10%
Investment intermediaries	Eroding Banks' Market Share				
Finance companies	610	1,140	1,439	1,474	3%
Mutual funds	654	4,435	7,935	12,843	22%
Money market mutual funds	498	1,812	2,755	2,716	5%

Largest Commercial Banks in the USA by Assets (June 2025)

Rank	Bank Name	Assets[1] (in blns of USD)
1	**JPMorgan Chase**	3,788.60
2	**Bank of America**	2,665.60
3	**Citigroup**	1,833.90
4	**Wells Fargo**	1,746.40
5	**U.S. Bank National Association**	671.4
(1): consilidated total assets		

Source: Federal Reserve

- After deregulation in the 80's, banks through a phase of concentration
  - long run process
- Nowadays a few players, enormous size dominate the market
- Compare with US Nominal GDP in 2024≈ $29tn
- Total US commercial banks' assets around **80%** of US GDP

Largest Commercial Banks in the World by Assets (2020)*

Rank (country)	Bank Name	Assets (in Blns of USD)
1 (JPN)	**Mitsubishi UFJ Financial Group**	$2,892B
2 (UK)	**HSBC Holdings**	$2,725B
3 (USA)	**JPMorgan Chase**	$2,691B
4 (USA)	**Bank of America**	$2,932B
5 (FRA)	**BNP Paribas**	$2,144B

**: This list only considers privately owned banks. If government-owned banks were included, the big-four Chinese banks would be #1,2,3,4 in the world, respectively. For an updated list see here!*

The Bank Balance Sheet

- ✓ The Balance Sheet is a list of a bank's assets and liabilities
  - **Total Assets = Total Liabilities + Capital (or Equity or Net Worth)**

- ✓ A bank's balance sheet lists
  - <u>sources</u> of bank funds (*Liabilities*)

    and
  - <u>uses</u> to which they are put (*Assets*)

    and
  - <u>capital</u> (=excess of assets over liabilities)

- ✓ **book values** (*i.e.* what you read on the balance sheet)

  are different from
- ✓ **market values** (*i.e.* as evaluated by the market using prices)

Balance Sheet: JP Morgan Chase

2015, end of year USD billion

Assets		Liabilities and Net Worth	
Cash and Reserves	20	Total Deposits	1,280
Investment and Securities	1,290	Demand/Checkable Deposits	392
		Savings/Time Deposits	663
Loans	835		
Commercial and Industrial	155	Total Debt and Borrowings	519
Consumer	476	Short-term debt	256
Real Estate (Mortgages)	95	Long-term debt	263
Other	108		
Loan Loss Reserves	(13.5)	Other Liabilities	304
Property	14.3		
Other Assets	157.2	Equity	247
Total	**2,370**	Total	**2,370**

Balance Sheet: Google

2015, end of year USD billion

Assets		Liabilities and Net Worth	
Cash and Cash Equivalents	73		
Other Current Assets	17	Current Liabilities	19
Long-term Assets	57	Long-term Debt	2
of which:			
Fixed Assets	30.7	Other liabilities	6
Goodwill	15.8		
Other Intangibles	3.8		
Investments	6.52	Equity	120
Total	**147**	Total	**147**

Comparison

- ✓ JPM's balance sheet is 16 times **larger** than Google's
- ✓ *Accounting* Equity/Assets is
  - ✓ about 10% for JPM
  - ✓ about 80% for Google
  - ✓ i.e. **high leverage** of JPM
- ✓ But also *market value* of equity of JPM is high: about 2 times

Balance Sheet of *All US Commercial Banks* (% of total, 2021)

Assets				Liabilities and Net Worth			
Cash and Reserves	2.4		10%	Total Deposits	19.6		83%
				Demand/Checkable Deposits		6.4	27%
Securities	7.2		31%	Savings/Time Deposits		13.2	56%
Treasury		1.5	6%				
Agency securities (MBS)		3.5	15%				
Municipal and Corporate Bonds		1.7	7%	Bonds and other debt	0.32		1%
Other		0.5	2%				
Loans	11.3		48%	Other Liabilities	1.32		6%
Real Estate (Mortgages)		5.2	22%				
Commercial and Industrial		2.1	9%				
Consumer		1.8	8%				
Other		2.0	9%				
				Equity	2.3		10%
Other Assets	2.6		11%				
Total	**23.6**			Total	**23.6**		

Commercial Banks: Assets

1. **Cash** and **Reserves** (10%)
   - Cash = physical cash in bank's vault
   - Cash items in process of collection (ex: checks)
   - Reserves = accounts held in an account at the Federal Reserve

2. **Securities** (31%)
   - only debt (by US law commercial banks not allowed to hold equity): look!
   - mostly US Government debt bonds (most liquid) …
   - … but also:
     - State and Local Government bonds
     - Mortgage-Backed Securities (see book and optional)

3. **Loans** (49%)
   - mostly loans to *business* and *real estate* loans (=household mortgages)
   - also interbank loans (mainly overnight Fed funds) and consumer loans

4. **Other assets** (11%)
   - buildings, IT infrastructure...

Commercial Banks: Liabilities

1. **Deposits** (83%)
   - from households and firms. 2 main types:
     - *Checking/demand deposits*: allow to withdraw at any time (bank must pay immediately)
     - *Nontransaction deposits* (*savings accounts, time deposits, certificates of deposits):* limited withdrawals (4 ex. time deposits and CDs)

2. **Other short-term borrowing** (7%)
   - *Fed discount loans* and *Fed funds* (overnight from other banks)
   - Interbank offshore dollar deposits (Eurodollars)
   - Repurchase agreements
   - Commercial paper and notes

3. **Capital** (10%): difference between assets and liabilities
   - Net Worth of banks (recall NW in previous lecture)
   - Bank capital = new equity + retained earnings
   - it matters for bankruptcy

Off-Balance Sheet

- ✓ *Not everything* is on the balance sheet!

- ✓ In the past two decades banks have greatly expanded their fee income generating **off-balance-sheet (**OBS**) activities**

- ✓ OBS do not show up on the balance sheet,
  - but contribute to a greater extent to bank profit and risk (moral hazard)

- ✓ OBS may include:
  1. *Securitization* (sell loans and repackage them into securities to free up space in balance sheet, also *bad debt*)

  2. *Loan commitments* (bank agrees to provide *up to $X* to borrower)

  3. Trading/hedging (ForEx, derivatives: options, futures, interest rate swaps): risky, conflicts of interest (4 ex.: Barings bank)!

Off-Balance Sheet

- ✓ Banks have an obvious incentive to bring assets onto the balance sheet and *conceal* liabilities at the same time

- ✓ OBS activities do not show up in *book* equity …

- ✓ … but are (should be) taken into consideration for **market equity**
  - **market equity:** equity evaluated at market values but not only!)
  - **market equity =**
    - **+ market value of assets**
    - **– market value of liabilities**
    - **+ net OBS position**

- ✓ Also depends on how much the market knows about OBS (public vs private info)

Basics of Banking

It is helpful to understand some of the simple accounting associated with the process of banking

- ✓ Banks engage in **asset transformation**:
  - a bank uses <u>deposits</u> (your savings) to make <u>loans</u>

- ✓ Banks tend to "borrow short and lend long"
  - in terms of maturity
    - but it can also lend short term (*overdraft*)

Basics of Banking

- ✓ Let’s work through some simple exercise
- ✓ Deposit of $100 cash into First National Bank
- ✓ How does the bank balance sheet look like?

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- ✓ Deposit of $100 cash into First National Bank
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First National Bank			
Assets		**Liabilities**	
Reserves (vault cash)	+$100	Checkable deposits	+$100

- ➢ *have you ever been in a bank vault?*
- ➢ *so much money (apparently!)*

Basics of Banking

- ✓ Where did the check come from?
- ✓ From an account the customer held at another bank (Second National Bank)
- ✓ How does Second National Bank balance sheet look like after the transfer?

First National Bank				Second National Bank			
Assets		Liabilities		Assets		Liabilities	
Reserves	+$100	Checkable deposits	+$100	Reserves	–$100	Checkable deposits	–$100

Reserves (vault cash)=Reserves

- ○ when bank receives deposits, reserves ↑ by equal amount
- ○ when bank loses deposits, reserves ↓ by equal amount

Basics of Banking

- ✓ Suppose there's a reserve requirement: 10% (of deposits)
  - Required reserves = $10; Excess reserves is the rest = $90

First National Bank			
Assets		**Liabilities**	
Required reserves	+$10	Checkable deposits	+$100
Excess reserves	+$90		

Basics of Banking

- ✓ Suppose there's a reserve requirement: 10% (of deposits)
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First National Bank			
Assets		**Liabilities**	
Required reserves	+$10	Checkable deposits	+$100
Excess reserves	+$90		

- ✓ However keeping excess reserves is costly, they yield little: low profits! Alternatively the bank can make loans

First National Bank			
Assets		**Liabilities**	
Required reserves	+$10	Checkable deposits	+$100
Loans	+$90		

- ✓ The bank has thus *transformed* deposits into loans

General Principles of Bank Management

The bank has four primary concerns:

A. ***Liquidity*** **management**

B. ***Asset*** **management**

C. ***Liability*** **management**

D. **Managing** ***capital adequacy***

A. Liquidity Management

- ✓ The need for **liquidity management** arises because of *maturity mismatch*:
  - the maturity of banks' assets is generally longer
  - than the maturity of their liabilities
- ✓ Therefore, a bank may have
  - to meet its obligations (pay its creditors: depositors, etc …)
  - before it receives the proceeds from its assets (loans, etc..)
- ✓ *Liquidity management* deals with *maturity mismatch*:
  - it ensures that there is enough **cash/reserves** to pay its creditors when they wish to withdraw their money
- ✓ Furthermore, banks need to have enough **reserves** to satisfy the *minimum reserve requirements*

A. Liquidity Management

Assets		Liabilities	
Reserves	$20 million	Deposits	$100 million
Loans	$80 million	Bank capital	$ 10 million
Securities	$10 million		

Reserves requirement = 10% of deposits=$10M

So, excess reserves = $10M

Suppose a **deposit outflow** of $10 million occurs

Assets		Liabilities	
		Deposits	$90 million
		Bank capital	$10 million

Now excess reserves =

A. Liquidity Management

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Loans	$80 million	Bank capital	$10 million
Securities	$10 million		

Now excess reserves = $10M – (0.1 $\times$ $90M) = $10M –$9M = $1M

With **ample excess** reserves**, no changes** needed in other parts of balance sheet

A. Liquidity Management

Suppose the banks wants to keep **0** <u>excess</u> reserves, so it can make more loans (more profitable)

Assets		Liabilities	
Reserves	$10 million	Deposits	$100 million
Loans	$90 million	Bank capital	$ 10 million
Securities	$10 million		

Suppose the same deposit outflow of $10 million occurs

A. Liquidity Management

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Securities	$10 million		

Suppose the same deposit outflow of $10 million occurs

Assets		Liabilities	
Reserves	$ 0	Deposits	$90 million
Loans	$90 million	Bank capital	$10 million
Securities	$10 million		

Bank has $9 million **reserve shortfall!**

What can the bank do in case it has no excess reserves?

A. Liquidity Management

1. **Borrow from other banks**
   Cost: Federal Funds rate (o/n)

2. **Sell securities**
   Cost: transaction costs (low if use government securities, highly liquid, also named as "secondary reserves")

A. Liquidity Management

1. Borrow from other banks

Cost: Federal Funds rate (o/n)

Assets		Liabilities	
Reserves	$ 9 million	Deposits	$90 million
Loans	$90 million	Borrowings from other banks or corporations	$ 9 million
Securities	$10 million	Bank capital	$10 million

2. Sell securities

Cost: transaction costs (low if use government securities, highly liquid, also named as "secondary reserves")

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Cost: Federal Funds rate (o/n)

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2. Sell securities

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Assets		Liabilities	
Reserves	$ 9 million	Deposits	$90 million
Loans	$90 million	Bank capital	$10 million
Securities	$ 1 million		

A. Liquidity Management

3. **Borrow from Fed** (discount window)
   Cost: *discount rate* (higher than Fed Funds rate)

4. **Call in loans** (not renew) or **sell off loans**
   Cost: *antagonize* clients or *low liquidity* in secondary market for loans *(fire sale prices)*

A. Liquidity Management

3. **Borrow from Fed** (discount window)
   Cost: *discount rate* (higher than Fed Funds rate)

Assets		Liabilities	
Reserves	\$ 9 million	Deposits	\$90 million
Loans	\$90 million	Borrowings from the Fed	$\boxed{\$\ 9\text{ million}}$
Securities	\$10 million	Bank capital	\$10 million

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   Cost: *antagonize* clients or *low liquidity* in secondary market for loans *(fire sale prices)*

Assets		Liabilities	
Reserves	$ 9 million	Deposits	$90 million
Loans	$81 million	Bank capital	$10 million
Securities	$10 million		

A. Liquidity Management

Conclusion:
excess reserves are **insurance**
against above 4 costs from deposit outflows

- ✓ Liquidity management consists of
  - minimizing the risk of inefficient liquidation
- ✓ and it involves the choice of assets facing the trade off
  - banks are **willing** to hold excess reserves in order to avoid these costs
  - however, **large** excess reserves holdings substantially reduce the profitability of the bank (less loans)!
- ✓ In other terms: liquid, short-term securities …
  - … are *easy to convert* into cash if liquidity problems (deposit outflows) occur
  - … but they *yield less* than long-term illiquid assets

B. Asset Management

Bank must manage the composition of its assets

- ✓ Esentially, banks seek to
  - earn high returns on securities and loans
  - without taking too much risk

- ✓ How? Strategies to attain this goal:
  - <u>screening</u> of borrowers
    - to make loans with low default risk and high interest rates
  - investment in securities (with low risk and high returns)
  - diversification (to further reduce risk)
  - careful liquidity management ➡ keeping <u>adequate liquid assets</u>
    - such as *excess reserves* and *secondary reserves*

C. Liability Management

Bank management of the liability side of its balance sheet

- ✓ Before the 1960's:
  - o banks considered the liability side <u>as given </u>(they tried to allocate the funds optimally given the amount of deposits they had)
- ✓ Since the 1960's:
  - o *money center banks* (large banks in NY, Chicago, SFO) started retrieving funds more actively from the money market: the overnight market, CD's, etc…
- ✓ Today:
  - o if a money center bank needs increase liabilities (to get an attractive loan opportunity or with low reserves)
    - ▪ it may simply sell a negotiable CD or go overnight with Fed funds mkt
  - o while <u>small</u> banks remain more dependent on deposits
  - o most banks now manage assets and liabilities together (*ALM Committee*)

D. Capital Adequacy Management

- ✓ **Capital/Equity/Net Worth** is the difference between assets and liabilities
- ✓ Funds supplied by bank owners (shareholders):
  - either directly via purchases of shares
  - or through retention of **retained earnings** (portion of profits that are not distributed through dividends)
- ✓ When losses occur,
  - they <u>first get subtracted from the bank's net worth</u>, before other creditors get affected
- ✓ If assets drop below the value of liabilities …
  - … the bank's net worth (book value) becomes **negative**
- ✓ Negative net worth means that the bank is **insolvent**

D. Capital Adequacy Management

Banks need to manage the amount of capital held for 2 main reasons:

1. a strong capital stock **protects from bank failure** …
   - bank capital is a *cushion* that prevents bank failure
   - there are regulatory *minimum capital requirements*

2. … but reduces its **profitability**

✓ Again, *trade – off* between points 1 and 2

D. Capital Adequacy Management

1) Bank capital is a cushion that prevents bank failure

For example, these two banks differ in capital

High Capital Bank			
Assets		**Liabilities**	
Reserves	$10 million	Deposits	$90 million
Loans	$90 million	Bank capital	$10 million

Low Capital Bank			
Assets		**Liabilities**	
Reserves	$10 million	Deposits	$96 million
Loans	$90 million	Bank capital	$ 4 million

Assume both banks lose $5M from bad loans

(ex.: *subprime mortgage loans*)

D. Capital Adequacy Management

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Assume both banks lose $5M from bad loans

(ex.: *subprime mortgage loans*)

High Capital Bank

Assets		Liabilities	
Reserves	$10 million	Deposits	$90 million
Loans	$85 million	Bank capital	$ 5 million

Low Capital Bank

Assets		Liabilities	
Reserves	$10 million	Deposits	$96 million
Loans	$85 million	Bank capital	–$ 1 million

✓ High capital is solvent, while Low capital bank is insolvent:

- even if it sold all its asset, not enough $ to pay all creditors

D. Capital Adequacy Management

2) Capital reduces profitability

Assume both banks make $1M of net income

High Capital Bank

Assets		Liabilities	
Reserves	\$10 million	Deposits	\$90 million
Loans	\$90 million	Bank capital	\$10 million

Low Capital Bank

Assets		Liabilities	
Reserves	\$10 million	Deposits	\$96 million
Loans	\$90 million	Bank capital	\$ 4 million

Return *per unit* of capital

$$\frac{\$1M}{\$10M} = \mathbf{10\%}$$

Return *per unit* of capital

$$\frac{\$1M}{\$4M} = \mathbf{25\%\$}$$

✓ So banks naturally may **not** want to hold **high** level of capital (even if it improves solvency)

D. Capital Adequacy Management

- ✓ Problem is with equity holders
  - *trade off*:
    - incentive to reduce bank capital is higher
    - than one to maintain the bank stable (and not be wiped out in bankruptcy)
  - since equity holders do not fully *internalize* the **social cost of bank failures** (4ex.: bank runs), they would make choices (of capital level as well as banks' attitude to risk)
    - that are optimal for *themselves*
    - but *not for society (bank runs)*
- ✓ Solution: Government imposes *mimimum capital requirements*
  - purpose is to avoid bank failures (bank runs: see lecture 20 to 22)
  - *align* incentives of shareholders with the objective of keeping banks stable

Bank Performance

Interest Income + NonInterest Income =
Operating Income

Interest Expenses + NonInterest Expenses =
Operating Expenses

Operating Income (+)
Operating Expenses (–) =

Net Operating Income

Taxes, extraordinary items, loan losses provision (–)

Net Income*

***:** in the book this is also named as «net profit after taxes»

Bank Performance

✓ **Return on Assets***:

$$ROA = \frac{Net\ Income}{Assets}$$

- *ROA* gives a *broad idea* of how well the bank is using its assets to generate income

✓ **Return on Equity***:

$$ROE = \frac{Net\ Income}{Equity}$$

- *ROE* is <u>what owners</u> (equity holders) ultimately care about: this is the return they get on the capital they provided to the bank

(*): ROA and ROE also used for performance of non-financial firms

Bank Performance

- ✓ The two are linked … with the **Equity Multiplier (EM)**:

$$EM = \frac{Assets}{Equity}$$

Note that $EM > 1$, so that

$$ROE = ROA \times EM$$

$$\left(\frac{Net\ income}{Equity} = \frac{Net\ income}{Assets} \times \frac{Assets}{\boxed{Equity}}\right)$$

- ✓ For a given ROA and Assets, bank shareholders (who care about ROE) would like to attain a high ROE, by choosing a low amount of capital (high EM):
  - the <u>smaller </u>the ratio of <u>capital to assets</u> [$(1/EM)$ ↓], <u>the greater </u>the ROE, for a given Net Income; or also: if $EM \uparrow \Longrightarrow ROE \uparrow$
  - but in uncertain times, better increase bank capital (accept lower EM)
  - if have huge losses, difficult to raise capital (credit crunch: lect. 21!)

Bank Performance

Net Interest Margin:

$$NIM = \frac{\boxed{Interest}\ Income - \boxed{Interest}\ Expenses}{Assets}$$

- ✓ *NIM* is the *spread* between
  - what the bank earns in *interest* income

    and
  - what it has to pay as *interest* on its liabilities

- ✓ *NIM* measures how well the bank generates income from its *primary (core) function*:
  - issuing liabilities and investing in *interest-earning* assets

Chapter Summary

- ✓ **The Bank Balance Sheet**: we reviewed the basic assets, liabilities, and bank capital that make up the balance sheet
- ✓ **Off-Balance Sheet Activities**: we briefly reviewed some of the (risky) activities that banks engage in that don't appear on the balance sheet
- ✓ **Basics of Banking**: we examined the accounting entries for a series of simple bank transactions
- ✓ **General Principles of Bank Management**: we discussed the roles of liquidity, liability, asset, and capital adequacy management for a bank
- ✓ **Measuring Bank Performance**: we reviewed the key ratios commonly used for measuring and comparing bank performance

Table 17.2 Income Statement for All Federally Insured Banks, 2015 (1 of 2)

	Amount ($billions)		Share of Operating Income or Expense (%)	
Operating Income				
Interest income		478.5		65.4
Interest on loans	382.0		52.2	
Interest on securities	70.5		9.6	
Other interest	26.0		3.6	
Noninterest income		253.3		34.6
Service charges on deposit accounts	34.6		4.7	
Other noninterest income	218.7		29.9	
Total operating income		731.8		100.0

Off balance sheet items

Table 17.2 Income Statement for All Federally Insured Banks, 2015 (2 of 2)

	Amount ($billions)		Share of Operating Income or Expense (%)	
Operating Expenses				
Interest expense		46.5		9.3
Interest on deposits	29.0		5.8	
Interest on fed funds	1.5		0.3	
Other	16.0		3.2	
Noninterest expenses		417.3		83.3
Salaries and employee benefits	192.9		38.5	
Premises and equipment	45.0		9.0	
Other	179.4		35.8	
Provisions for loan losses	37.0			7.4
Total operating expense	500.8			100.0